

Institutions and Prosperity

Indirect policies: reliable rules support investment and innovation.

Property rights

Secure ownership and contracts. **Peru, 1996–2003:** a titling program; research finds more work outside the home.

Political stability

Lower uncertainty about future rules. **Botswana, after 1966:** stable civilian government and investment institutions.

Good governance

Enforce rules and use public resources well. **Indonesia, 2003–04:** randomly assigned road-project audits reduced unaccounted-for spending.

Source: Field (2007); Acemoglu, Johnson & Robinson (2001); Olken (2007), randomized audit study.